Universal Cables Ltd (UNIVCABLES)

Horizon: **Swing (1–4 wk)** · Bias tested: **Neutral** · As of **03 Jun 2026**

TACTICAL LONG

CMP	52W H / L	MKT CAP	P/E (TTM) VS SECTOR	ROE / ROCE
₹1,235	₹1,281 / ₹576	₹4,299 Cr	26.4× vs ~45-50× peers	8.9% / 11.7%

PROMOTER (Δ, PLEDGE)	FII / DII	BETA	ADV	NET DEBT
61.89% · nil pledge	0.68% / 4.54%	~1.2 approx	N/A verify on terminal	N/A rising; + ₹200cr NCD

PRIMARY CATALYST — THE REASON IT MOVES NOW

₹550 cr organic capacity expansion commissioning by Sep-2026 unlocks a record ₹3,025 cr order book (incl ~₹495 cr exports), underwriting management's 20–25% revenue CAGR guidance through FY28.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Restructuring / Capex	+20–25% rev CAGR FY27–28; EBITDA margin 9.6%→ towards double digits on operating leverage	HIGH	Commissioning ~Sep 2026; CCV + new LV plant nearing live

Priced in? Partly. Stock sits ~4% off its ₹1,281 52W-high after a +12.67% post-Q4 pop, so the record quarter and order book are largely in. The export ramp (>₹300 cr pipeline), HTLS optionality and EHV upgrade are NOT — and 26× P/E still sits well below ~45–50× listed cable peers. · Source: FY26 board outcome + concall, 26 May 2026 (TipRanks / Electrical Mirror / Whalesbook)

BULL
₹1,360-1,400
Decisive break above ₹1,281 52W-high; momentum + partial re-rating toward peers (+10–13%).

BASE
₹1,235-1,280
Consolidates under 52W-high, digests the gap while capex commissions (flat to +4%).

BEAR
₹1,080-1,120
Post-result gap fails; mean-reverts to ~50-DMA on profit-taking / commissioning slip (−10–12%).

> *A capacity-constrained EHV/power-cable maker with an order book roughly equal to a full year's sales is about to add capacity — if the ₹550 cr build commissions on time into a strong T&D capex cycle, the 20–25% growth runway converts to earnings and the still-cheap-vs-peers multiple re-rates; the swing window hinges on holding the post-Q4 breakout into Sep-2026 commissioning.*

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Order book	Record pending order book ₹3,025 cr (incl ~₹495 cr exports) + >₹300 cr export pipeline	~1.0× FY26 sales of revenue visibility	H	Executing FY27–28	FY26 results, 26 May 2026
Product launch	Entry into HTLS high-performance conductors via mfg agreement with TS Conductor Corp (USA)	New higher-margin transmission vertical; size TBD	M	FY27 commercialisation	Q3 FY26 concall, Jan 2026
Capex / EHV	₹73 cr modernisation of Satna EHV cable facility — precision mfg, global specs, export competitiveness	Margin/mix uplift in premium EHV segment	H	FY27	Board outcome, 26 May 2026
Financial inflection	Q4 PAT margin 6.58% (7-qtr high); FY26 EBITDA margin 9.60% (+120 bps YoY)	Operating leverage as capacity ramps	M	FY27 prints	FY26 results, 26 May 2026

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Capital action	Dividend ₹4.50/sh (low 11.6% payout); ₹200 cr NCD private placement to fund capex	Funds build-out; modest yield 0.32%	H	NCD Jun–Sep 2026	Board outcome, 26 May 2026
Ownership	Promoter (M.P. Birla group) 61.89% stable, nil pledge; FII just 0.68%	Low institutional base = re-rating headroom if coverage grows	L	Ongoing	Shareholding, Mar 2026

WHAT THE STREET IS PRICING IN

No broad formal sell-side coverage for a ₹4,300 cr-mcap, thinly-followed name — treat consensus as **N/A**; visible "targets" are technical/algo (MunafaSutra, WalletInvestor), not fundamental. IN the price: the record FY26 (rev ₹3,023 cr +26%, PAT ₹163 cr +82%, EPS ₹47) and the order book — stock is near its 52W-high post a +12.67% result pop. NOT yet in: export-led mix shift, HTLS/EHV optionality, and a peer-gap re-rating (26× vs ~45–50×). On 20–25% growth, FY27 EPS ≈ ₹56–59 → ~₹1,460–1,540 at a held 26×.

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Earnings quality	TTM includes ~₹111 cr other income; core margin thinner if it normalises	−10–15%	M
Capex / commissioning slip	CCV & LV lines already flagged "minor delays"; slip past Sep-2026 delays the ramp	−10%	M
Valuation / chase risk	Near 52W-high after +12.67% pop; mean-reversion on any disappointment	−12%	M
Low ROE / project lumpiness	3-yr ROE 6.88%, ROCE 11.7%; capital- & working-capital-intensive, order timing lumpy	de-rate	M
Commodity (Cu/Al)	Input-cost swings; pass-through partial on fixed-price project orders	qualitative	M
Rising leverage	₹200 cr NCD + ₹550 cr capex lift debt through the build-out	qualitative	L

KEY LEVELS & TRADE FRAME

Entry zone	₹1,180–1,210 (buy pullback, don't chase)
Stop (below post-Q4 gap / swing low)	₹1,095 approx
Target 1 / Target 2	₹1,281 / ₹1,360
R:R · suggested size	~1.7:1 · 2–3% capital

Levels approx — verify on chart; no live DMA feed. Small/mid-cap, project-lumpy: size conservatively.

CATALYST CALENDAR

DATE	EVENT
Jun–Sep '26	₹200 cr NCD private placement execution
Jul–Aug '26	Q1 FY27 results print
Aug–Sep '26	AGM · ₹4.50 dividend record date
~Sep '26	₹550 cr capacity expansion commissioning (key)
FY27	₹73 cr EHV Satna upgrade; HTLS (TS Conductor) commercialisation

TACTICAL LONG

Fundamentals and order book support the runway and the multiple is cheap vs peers, but the stock is extended near its 52W-high after a +12.67% pop — favour buying pullbacks into ₹1,180–1,210 over chasing the gap. **Flips the call:** material slippage of the ₹550 cr capex past Sep-2026 (CCV/LV lines already flagged delays) or a stall in order inflow — that breaks the 20–25% CAGR thesis and de-rates toward ~20×.

Sources: Screener.in consolidated (CMP/valuation/shareholding, read 02–03 Jun 2026); TipRanks & Electrical Mirror & Whalesbook & MarketsMojo on FY26 board outcome/results (26 May 2026); Tickertape (CMP 26 May 2026, ₹1,230.50); Prysm/Whalesbook Q3 FY26 concall (capex ₹550 cr, HTLS/TS Conductor). Discarded stale read: screener date-label "Jun 2025" treated as a cache artefact — 52W range and FY26 numbers are current.